

AS ECONOMICS 7135/1

Paper 1 The Operation of Markets and Market Failure

Practice Paper — Moderate

Time allowed: 1 hour 30 minutes

Materials

For this paper you must have:

- the Insert (Extracts A–F included within this paper)
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Answer **all** questions in **Section A**.
- Answer **either** Context 1 **or** Context 2 in **Section B**.
- You must answer the questions in the spaces provided.
- Do all rough work in this book. Cross through any work you do not want to be marked.

Information

- The maximum mark for this paper is 70.
- The marks for questions are shown in brackets.
- No deductions will be made for wrong answers.

Section A

Answer **all** questions in this section. Only **one** answer per question is allowed.

01 Which one of the following is most likely to be classified as a normative statement?

- A** The UK inflation rate rose to 4% last year.
- B** An increase in the minimum wage raises labour costs for firms.
- C** The government should reduce income tax for low earners.
- D** A rise in interest rates tends to reduce consumer spending.

[1 mark]

02 The basic economic problem arises because

- A** consumers always behave rationally.
- B** human wants are unlimited but resources are scarce.
- C** governments do not regulate markets effectively.
- D** prices fluctuate over time.

[1 mark]

03 A consumer chooses to spend £50 on a concert ticket rather than a meal out (£40) or a new book (£30). The opportunity cost of attending the concert is

- A** the book.
- B** the meal out.
- C** the meal out and the book.
- D** £70 of spending.

[1 mark]

04 A movement along a country's production possibility frontier from one point on the curve to another shows

[1 marks]

- A** an increase in productive capacity.
- B** a fall in unemployment of factors of production.
- C** the opportunity cost of producing more of one good.
- D** technological progress.

05 If the price elasticity of demand for a product is -0.4 , the demand for that product is

- A** perfectly inelastic.
- B** relatively inelastic.
- C** unit elastic.
- D** relatively elastic.

[1 mark]

06 Two goods are complements. This means that they have

- A** a negative cross elasticity of demand.
- B** a positive cross elasticity of demand.
- C** a positive income elasticity of demand.
- D** a price elasticity of demand greater than one.

[1 mark]

07 Which one of the following would cause a leftward shift of the supply curve for bread?

- A** A fall in the price of bread.
- B** A rise in the cost of wheat used to make bread.

- C An increase in consumer incomes.
- D An improvement in baking technology.

[1 mark]

08 Figure 1 shows the demand (D) and supply (S) curves for a litre of milk. The government imposes a minimum price of 60p per litre.

[1 marks]

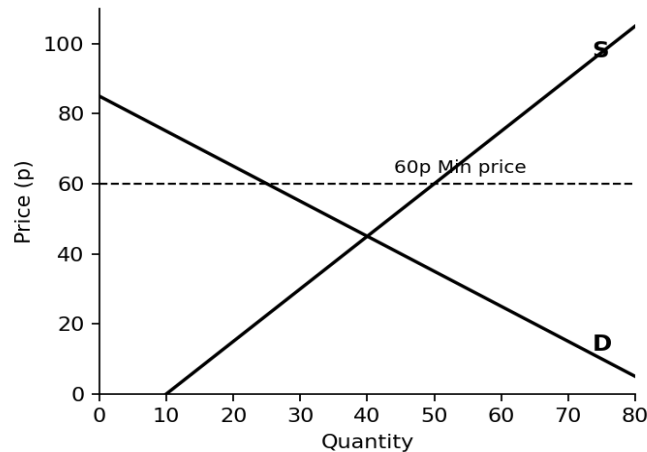


Figure 1

Which one of the following is most likely to result?

- A Excess demand for milk.
- B Excess supply of milk.
- C An increase in consumer surplus.
- D A fall in the quantity supplied.

[1 mark]

09 The price of a good rises from £10 to £12 and quantity supplied rises from 100 to 130 units. The price elasticity of supply is

- A 0.67
- B 1.5
- C 2.5
- D 3.0

[1 mark]

10 A pure public good is best described as a good that is

- A produced by the public sector.
- B non-rival and non-excludable in consumption.
- C consumed only by individuals on low incomes.
- D subject to negative externalities in production.

[1 mark]

11 Which one of the following is most likely to be an example of a positive externality of consumption?

- A A factory producing chemicals that pollute a river.
- B An individual paying for private healthcare.
- C A household installing solar panels on their roof.
- D A consumer buying a luxury car.

[1 mark]

12 An indirect tax of £2 per unit is imposed on a good that has price inelastic demand. Compared with a good that has price elastic demand, the effect of the tax will be

- A** a larger fall in quantity demanded.
- B** a smaller rise in the price paid by consumers.
- C** a larger share of the tax paid by consumers.
- D** no change in total tax revenue collected.

[1 mark]

13 Specialisation and the division of labour are most likely to lead to

- A** lower output per worker.
- B** increased boredom and lower motivation only.
- C** higher productivity and lower average costs.
- D** the use of fewer factors of production.

[1 mark]

14 Which one of the following is most likely to be a fixed cost for a coffee shop in the short run?

- A** Coffee beans.
- B** Paper cups.
- C** Rent on the premises.
- D** Wages of part-time staff paid by the hour.

[1 mark]

15 Table 1 shows the output of a firm at different levels of employment of labour.

[1 marks]

Number of workers	Total output (units per day)
1	10
2	25
3	45
4	60
5	70

Table 1

Between which two workers does the marginal product of labour first fall?

- A** The 2nd worker.
- B** The 3rd worker.
- C** The 4th worker.
- D** The 5th worker.

[1 mark]

16 A firm operating in a perfectly competitive market is a price taker because

- A** it produces a unique, differentiated product.
- B** there are significant barriers to entry.
- C** there are many sellers each producing identical products.
- D** it spends heavily on advertising.

[1 mark]

17 Internal economies of scale are most likely to arise from

- A** an industry locating in one geographical area.
- B** a single firm increasing its scale of production.

- C** improvements in transport infrastructure.
- D** the provision of training colleges by the government.

[1 mark]

18 The income elasticity of demand for an inferior good is

- A** positive and less than one.
- B** positive and greater than one.
- C** zero.
- D** negative.

[1 mark]

19 Which one of the following is most likely to be a reason for government failure?

- A** The existence of public goods.
- B** Inequitable distribution of income.
- C** Unintended consequences of regulation.
- D** Imperfect information among consumers.

[1 mark]

20 A subsidy granted to producers of a good with positive externalities of consumption is intended to

- A** increase the price paid by consumers.
- B** reduce the quantity produced to the socially optimal level.
- C** shift the supply curve to the right and increase consumption.
- D** internalise the negative externalities of production.

[1 mark]

END OF SECTION A

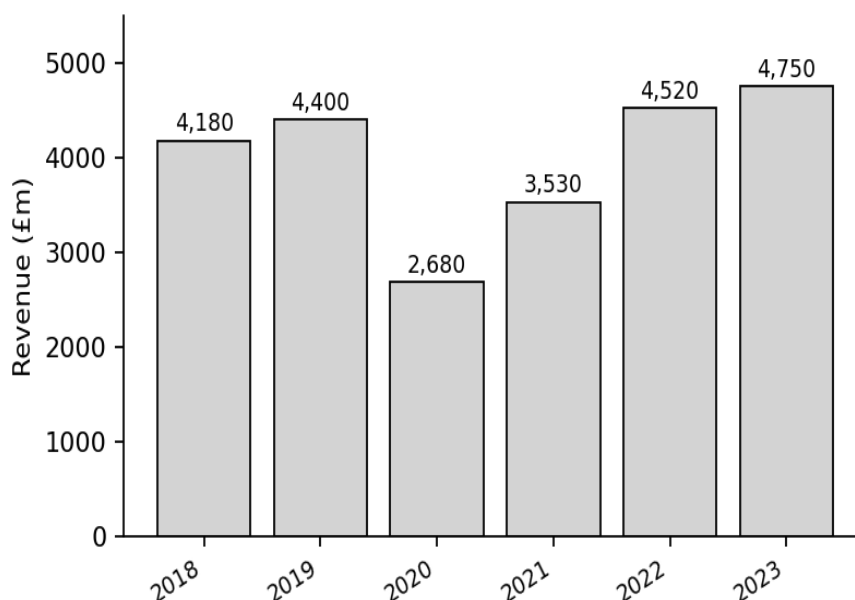
Section B

Answer **either** Context 1 **or** Context 2. There is a total of 50 marks for either context.

EITHER

Context 1 — The market for coffee in the UK *Total: 50 marks*

Extract A: UK coffee shop revenue, 2018–2023 (£ millions)



Source: adapted from UK coffee industry reports

Extract B: Coffee culture in the UK

- 1 Coffee has become one of the most popular drinks in the UK, with millions of cups
- 2 consumed each day. Disposable incomes have risen over the last twenty years and
- 3 there has been a noticeable change in tastes, with many people now choosing to
- 4 visit coffee shops as part of their daily routine. Branded chains such as Costa,
- 5 Starbucks and Caffè Nero have expanded into towns and cities across the country.
- 6 Independent coffee shops have also grown in popularity, offering specialty roasts.
- 7 The pandemic in 2020 forced many shops to close temporarily and demand collapsed.
- 8 Since 2021, the sector has recovered and most leading chains are profitable again.
- 9 Coffee beans are a **scarce resource**; they are grown mainly in tropical countries
- 10 the price of which has risen sharply since 2021 because of poor harvests in Brazil.
- 11 Energy costs faced by coffee shops have also increased, putting further upward
- 12 pressure on prices.

Extract C: Sugar, health and the coffee industry

- 1 Many coffee drinks served by chain shops contain large amounts of added sugar
- 2 and saturated fat. Public Health England has expressed concern about the rise in
- 3 obesity, especially among children and teenagers. Some campaigners argue that
- 4 sugary coffee drinks should be subject to a tax similar to the Soft Drinks Industry
- 5 Levy, which was introduced in 2018. Others argue that consumers should be free
- 6 to choose what they buy and that adults already understand the risks involved.
- 7 Coffee shops have started to display calorie information on menus and offer plant
- 8 milks and sugar-free syrups as alternatives. However, take-up of healthier options
- 9 remains limited. The government must decide whether to leave the market to
- 10 respond, perhaps with information campaigns, or to intervene directly using taxes
- 11 or regulation. Any intervention would have winners and losers, including consumers,
- 12 workers in the industry and the businesses themselves.

21 Define 'scarce resource' (Extract B, line 9).

[3 marks]

22 Extract A shows UK coffee shop revenue. Calculate the percentage change in coffee shop revenue between 2018 and 2023. Give your answer to **one** decimal place.

[4 marks]

23 Use Extract A to identify **two** significant features of UK coffee shop revenue over the period shown.

[4 marks]

24 A coffee shop owner can use her resources to produce two products: 'hot drinks' and 'cold drinks'. Draw a production possibility diagram showing the potential output of these two products. Show on this diagram the effect of allocating more resources to the production of cold drinks.

[4 marks]

25 Extract B (lines 9–10) states: 'Coffee beans are a scarce resource... the price of which has risen sharply since 2021.' Explain how a rise in the price of coffee beans is likely to affect the market for coffee in coffee shops.

[10 marks]

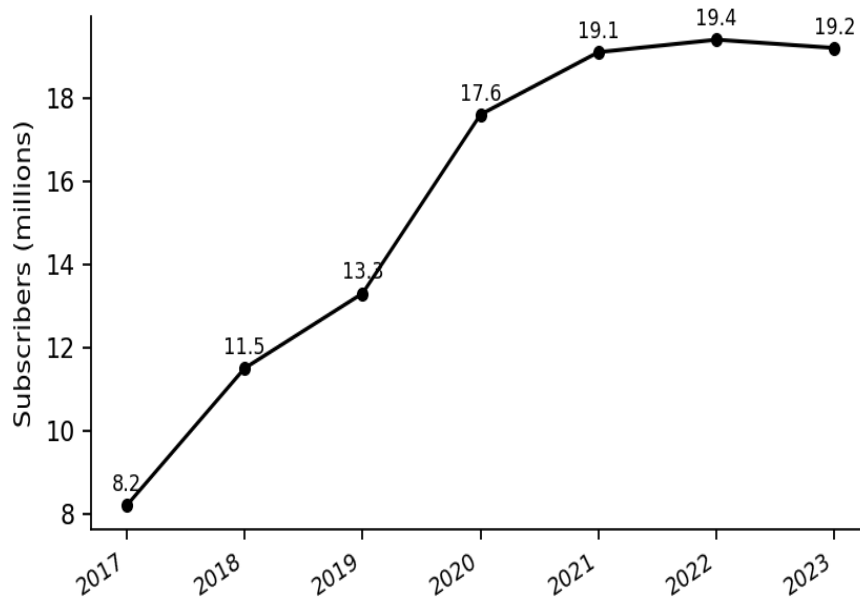
26 Extract C (lines 4–5) refers to calls for sugary coffee drinks to be taxed. Use the extracts and your knowledge of economics to discuss whether the UK government should impose a tax on sugary coffee drinks.

[25 marks]

OR

Context 2 — The market for video streaming services Total: 50 marks

Extract D: UK subscribers to paid video streaming services, 2017–2023 (millions of households)



Source: adapted from Ofcom Media Nations report

Extract E: The rise of streaming

1 Streaming services such as Netflix, Amazon Prime Video and Disney+ have changed
2 the way people consume entertainment in the UK. As broadband speeds have
3 improved and prices for streaming subscriptions remained affordable, more
4 households have signed up. By 2022, around 19 million UK households held at
5 least one paid subscription. The cost of producing original content is huge.
6 A single hour of a high-quality drama series can cost more than £10 million
7 to produce. These are **fixed costs** that must be paid regardless of how many
8 people watch the show. Once the content is available, the cost of delivering it
9 to one additional viewer is very small. This allows streaming firms to benefit
10 from significant economies of scale.
11 Households now have a wide choice of streaming platforms. The fall in price of
12 some basic packages and a wider range of free content has put downward pressure
13 on subscription prices for some services.

Extract F: The market and society

1 The rapid growth of streaming has had wider consequences. Traditional cinemas
2 and broadcast television channels have lost audience share and advertising
3 revenue. Some independent shops that rented films have closed. Critics argue
4 that this concentration of viewing in a few large international firms reduces
5 cultural diversity and the production of UK-made content. There is also concern
6 about heavy use of streaming by children, which may displace exercise, sleep
7 and study time. These could be considered negative externalities of consumption.
8 Some economists suggest that the streaming market is becoming less competitive,
9 with a small number of dominant firms. Public service broadcasters such as the
10 BBC argue that more government support is needed for UK-made programmes,
11 through tax incentives or regulation, in order to protect the cultural industries.
12 Should the government intervene to support UK content, or leave the outcome
13 to the market?

27 Define '**fixed costs**' (**Extract E**, line 7).

[3 marks]

28 Extract E (line 4) states that in 2022 around 19 million UK households held at least one paid subscription. If there were 28.2 million UK households in 2022, calculate the percentage of households with at least one paid subscription. Give your answer to **one** decimal place.

[4 marks]

29 Use **Extract D** to identify **two** significant features of UK subscribers to paid video streaming services over the period shown.

[4 marks]

30 A streaming firm uses limited resources to produce two types of programme: 'films' and 'drama series'. Draw a production possibility diagram showing the potential output of these two products. Show on this diagram the effect of an improvement in production technology that increases the output of both films and drama series.

[4 marks]

31 Extract E (lines 11–13) refers to a fall in the price of some basic streaming packages. Explain factors that could cause a fall in the price of streaming services.

[10 marks]

32 Extract F (lines 9–11) refers to calls for more government support for UK-made programmes. Use the extracts and your knowledge of economics to discuss whether the UK government should intervene in the market for streaming services.

[25 marks]

END OF QUESTIONS